



# GREEN MOBILITY

## Policy and Industry Drivers

**India is viewing an all-electric car fleet by 2030, with no petrol or diesel cars sold in the country by that year. Here is a brief look at what the government and industry are doing, and will need to do, to make this possible.**



As a nation, India is moving towards adopting electric vehicles (EV), and our government is committed towards the same goal. In a recent communique, Piyush Goyal, minister of state with independent charge for power, coal and renewable energy, as well as mines, has stated that officials under his ministries will start using electric cars to promote their use and highlight the benefits of doing so. That's a very strong statement from a leader of his stature, which shows the seriousness with which India is moving on the FAME (Faster Adoption and Manufacturing of Electric vehicles in India) path. Let's delve deeper into the map that will guide this journey, and look at how the different policies are going to impact the EV adoption cycle.

### The policy initiatives

The National Electric Mobility Mission Plan (NEMMP) 2020 is a pioneering

initiative launched by the UPA government in 2013. It has been reshaped and is being implemented very well by the new government to lead India towards total electric vehicle adoption by 2030. Some of the key drivers of this mission are the incentives to facilitate the acquisition of hybrid/electric cars; encouraging R&D in startups and new business entities in the areas of battery technology, power electronics, motors, systems integration, battery management systems and testing infrastructure; and industry-friendly government policies.

Another important initiative is the development of the battery charging infrastructure, and with public private partnership (PPP) models, this part of the EV ecosystem is sure to grow. The government is also trying to offer incentives to maximise supplier growth and build the on-road infrastructure for retrofits, similar to the infrastructure that

exists for fuelling stations in the country. The total investment planned for this scheme is ₹140 billion, which would include industry contributions.

When this project was envisaged, the idea was to make India self-reliant in fuel. The driver behind this was the National Fuel Security Policy, which was drafted to enhance the usage of non-fossil fuels, and reduce the use of fossil fuels, for which India is highly reliant on imports. Today, as we know, India is one of the fastest growing economies in the world and fuel plays a key role in driving the growth momentum. Once India becomes a truly electric vehicle driven country, we will finally enter an era of fuel security, enabling us to grow faster across all sectors, while saving foreign exchange.

Another policy initiative is the FAME India scheme which came into effect on April 1, 2015. In its bid to speed up EV manufacturing and adoption, the government has taken a number of important steps:

- Since the inception of the FAME India scheme on April 1, 2015 till February 2017, the Department of Heavy Industry has already extended demand incentives worth ₹1277.7 million for the purchase of 111,897 electric/hybrid vehicles.
- Budget 2017 has provisioned a 42 per cent increase in funding/incentives to aid and support the production of electric and hybrid cars with the intent to improve air quality in the country. India has some of the most polluted cities in the world. Industry is optimistic on the provisions made in the Budget and feels that these will increase the acceptance of e-vehicles, even if the current output remains low.

### Transportation

## India's Greatest Polluter

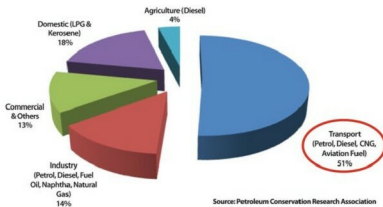


Figure 1: Transportation accounts for 51 per cent of air pollution in India; and in cities, that figure goes up to 75-80 per cent!

